(c) Long term loans

Short Term Loans

Short term loans are provided for a period of less than 15 months to meet out expenses of routine farming and domestic consumptions. This type of loan is demanded by farmers for purchasing seeds, fertilisers and for meeting out family requirements.

Medium Term Loans

Medium term loans are provided for a period of 15 months to 5 years to purchase agricultural equipment, animals and for land improvements.

Long Term Loans

Long term loans are provided for a period of more than 5 years. This type of loan is taken by the farmers to purchase land and expensive agricultural equipment and for repayment of old loans.

Source of Loans

The Indian farmer can acquire the above types of loans from two sources:

(a) Non-institutional sources like moneylenders, landlords, big businessmen, etc[35].

(b) Institutional sources like commercial Banks, Co-operative Banks and Government sources.

Policy on agriculture credit aims at progressive institutionalisation of credit agencies for providing credit to farmers for raising agricultural production and productivity. Agricultural credit is disbursed through a multiagency network consisting of Co-operatives, Commercial Banks and Regional Rural Banks (RRBs).

COMMODITY FUTURES MARKET